



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr John Higginbotham

Of

32 SYDNEY AVENUE

GEELONG VIC 3220

Prepared on:

11th September 2024

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

Lakeside Financial

Suite 201, Level 2, 429 Bay Street

Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

Email: andrew.lord@lakesidefinancial.com.au

Authorised Representative # 324798

Pareto Group Pty Ltd

ABN 11 155 278 078 Australian Financial Services Licensee No. 418700

Suite 201, Level 2, 429 Bay Street, Brighton, Vic, 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

Mr John Higginbotham
32 Sydney Avenue
GEELONG VIC 3220

11/09/2024

Dear John,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord

B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main-focus is on:

- Retirement Income Planning
- Superannuation Advice
- Most Appropriate Structure of investment assets

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on (03) 9596 5111.

The Planning Process

John, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Restructure your financial assets to replace the \$2,500 per month of income lost from your Challenger Annuity expiring.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	John
Surname	Higginbotham
Gender	M
Date of Birth	24/10/1939
Age Last Birthday	84
Marital Status	Widowed

Employment Details

Employment Status	Retired
Employer	N/A

Current Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Total
Income	
BT Panorama Pension	\$16,152
Age Pension	\$2,054
CSL Dividend	\$3,551
Vanguard Dividend	\$5,394
Net Income	\$27,151
Less Budgeted Expenditure	-\$45,000
Income Surplus/Deficit	-\$17,849

You have provided us with the above figures in the table. If the estimated Cash Flow Surplus may be over or understated, please notify us if this is the case.

Current Investment Assets

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Investment Assets	
John	
CSL Shares (950 units @ \$303.99)	\$288,791
Vanguard Shares (2,325 units @ \$55.76)	\$129,642
Cash	\$21,988
Total Superannuation Assets	\$440,421

Superannuation Assets	
John	
BT Panorama	\$230,599
Total Superannuation Assets	\$230,599

Total ASSETS	\$671,020
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

John, based on our discussions, you have a '**Balanced**' investor risk profile with respect to investments.

- A **Balanced** investor places greater emphasis on capital appreciation with current income and asset preservation being a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A **Balanced** portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A '**Balanced**' investor will typically diversify their investment in the following manner:

Australian Shares	27%
International Shares	29%
Fixed Interest	26%
Property	12%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares, Index Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2024-25

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	16c for each \$1 over \$18,200
\$45,001 – \$135,000	\$4,288 plus 30c for each \$1 over \$45,000
\$135,001 – \$190,000	\$31,288 plus 37c for each \$1 over \$135,000
\$190,001 and over	\$51,638 plus 45c for each \$1 over \$190,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only
From 1 July 2022	\$27,500	\$27,500**			SGC only
From 1 July 2024	\$30,000	\$30,000**			SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

** From 1/07/2022, work test requirements were removed for all contributions, except personal tax-deductible contributions.

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute
From 1 July 2024	\$120,000 p.a.	May bring forward two years of contributions to make a \$360,000 contribution in one financial year		Cannot contribute

Strategy Recommendation

Reasons For Seeking Advice:

- John, you recently had a Challenger Annuity paying \$2,500 per month expire and now require additional income to supplement your living expenses.
- You wish to restructure your current assets to achieve an annual income of \$45,000 to \$50,000.
- You are currently drawing down \$16,152 per annum from your BT Panorama Pension fund and \$2,054 per annum from the Age Pension. Therefore, you seek advice in terms of the most appropriate structure for your assets to **generate a further income of approximately \$26,794 per annum.**

Recommendation Overview:

- John, roll across the Superannuation monies from your BT Panorama fund to a more actively managed wholesale 'master trust' superannuation pension platform from which you will draw down an income of \$1,917 per month (\$23,004 p.a.).
- Sell down your Vanguard shares and the tranche of CSL shares purchased in 2001 and invest the estimated balance of \$251,526 in the recommended wholesale 'master trust' investment platform, from which you will draw down an income of \$21,996 per annum.

Retirement Income Planning

John, you are currently drawing down an income of \$1,346 per month (\$16,152 p.a.) from your BT Panorama Pension and \$79 per fortnight (\$2,054 p.a.) from the Age Pension. You require a retirement income of at least \$45,000, meaning you need an additional \$26,794 p.a. to achieve your desired retirement lifestyle.

Increasing the Allocated Pension Payment:

- John, following our discussion it was agreed that we would increase the amount being paid from your Pension fund from 7% of the fund's balance at \$1,346 per month (\$16,152 p.a.) to 10% of the fund's balance at \$1,917 per month (\$23,004 p.a.).
- Following this, it is estimated that **you will require a further \$19,942 p.a. to satisfy living expenses.**

Selling down shares to draw down a regular income stream:

- John, as your CSL and Vanguard shares are not paying a large enough dividend to replace your lost income, it may be more suitable to invest these funds under a structure where you are able to draw down a regular income stream.
- If you sell down all the Vanguard shares and the 425 units of CSL purchased for \$50.50 in 2011, this will leave you with **a balance of \$258,838** (not accounting for Capital Gains Tax (CGT)).
 - The required drawdown of \$19,942 p.a. equates to 7.70% of the above balance of \$258,838.
 - For context, this means an annual return of 7.70% will be required to keep the capital from diminishing.

Capital Gains Tax (CGT) Implications

John, there will likely be significant CGT implications involved in the sale of the CSL shares. While the actual tax impact will depend on the share price at the time of sale, we have provided the below calculations as an outline of what to expect based on today's share price.

Selling down the first tranche of CSL shares (purchased in 2001):

- John, you purchased 425 units of CSL at a price of \$50.50 on 24 December 2001.
 - Excluding broker fees, this suggests a cost base of \$21,462.50.
- Using today's share price of \$303.99, the current value of these units is \$129,195.75.
- Using these figures, a gain of \$107,733.25 would then receive a 50% discount as these have been held longer than 12 months.
- Therefore, a total of \$53,866.63 would be added to your taxable income for the 2024/25 Financial Year (FY).
 - Assuming no other taxable income for the FY, this would result in approximate income tax of \$7,833.44.

Selling down the Vanguard Shares:

- John, you purchased 2,325 units of Vanguard Diversified Balanced Index ETF at a price of \$56.43 on 24 July 2020.
 - Excluding broker fees, this suggests a cost base of \$131,199.75.
- Using today's share price of \$55.76, the current value of these units is \$129,642.
- Therefore, a capital loss of \$1,557.75 would be added to your taxable income for the 2024/25 FY.
 - This would reduce the income tax above to \$7,311.51 for the FY.

Selling down the second tranche of CSL shares (purchased in 1996):

- John, you purchased 525 units of CSL at a price of \$6.09 on 23 September 1996.
 - Excluding broker fees, this suggests a cost base of \$3,197.25.
- Using today's share price of \$303.99, the current value of these units is \$159,594.75.
- Using these figures, a gain of \$156,397.50 would then receive a 50% discount as these have been held longer than 12 months.
- Therefore, a total of \$78,198.75 would be added to your taxable income should these shares be sold in one FY.
 - Assuming the share price stays constant, this sale could be spread evenly across the next 4 years to reduce the tax impact.

Investment Recommendation

Superannuation Funds

John, you currently have the following superannuation fund:

John

BT Panorama – Account Number 400421210

- The fund currently has a balance of approximately \$230,599.

Superannuation Accumulation Funds

- You effectively have two options in terms of how your existing superannuation monies are structured:
 - Continue to hold these monies in your existing BT Panorama fund.
 - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.

Investments Within Superannuation

BT Panorama – Account Number 400421210 (John)

John, you have a superannuation fund with BT Panorama invested in the 'Vanguard Diversified Growth Index ETF (ASX:VDGR)' option.

The asset allocation of your BT Panorama portfolio is:

Asset Class	% of Portfolio
Australian Shares	27.60%
International Shares	37.45%
Property / Infrastructure	0
Alternative	3.94%
Fixed Interest	29.57%
Cash	1.44%
	100%

Current BT Panorama Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	27.60%	27%	+0.60%
International Shares	37.45%	29%	+8.45%
Property/Infrastructure	0	12%	-12.00%
Fixed Interest	29.57%	26%	+3.57%
Cash	1.44%	6%	-4.56%
Alternative	3.94%	0%	+3.94%

BT Panorama 'Vanguard Diversified Growth Index' Option Historical Performance at 31 July 2024:

	1 year	3 years (p.a.)	5 years (p.a.)
BT Panorama	12.67%	4.47%	6.58%

Option 1 – Maintain Existing BT Panorama

John

You are invested in BT Panorama's 'Vanguard Diversified Growth Index ETF' option which is not aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical long term average performance and short-term performance associated with your BT Panorama is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your investments in the Colonial First State (CFS) platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

John

Colonial First State Wholesale Allocated Pension – 'Balanced' portfolio

	% of portfolio
Realindex Australian Share Value	11.00%
Airlie Australian Share	11.00%
First Sentier Australian Small Companies	5.00%
CFS Index Global Share	13.00%
GQG Partners Global Equity	12.00%
Bell Global Emerging Companies	4.00%
First Sentier Property Securities	6.00%
Ironbark Property Securities	6.00%
Yarra Enhanced Income	13.00%
Perpetual Diversified Income	13.00%
FirstRate Saver	6.00%
	100.00%

Performance of the recommended Colonial First State 'Balanced*' Portfolio at 31/07/2024:

Managed Funds	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Australian Share Value	11.00%	15.05%	11.31%	10.41%
Airlie Australian Share	11.00%	15.27%	7.88%	11.00%
First Sentier Australian Small Companies	5.00%	6.37%	2.19%	9.21%
CFS Index Global Share	13.00%	20.50%	10.09%	12.51%
GQG Partners Global Equity	12.00%	31.53%	16.48%	16.21%
Bell Global Emerging Companies	4.00%	8.91%	2.08%	8.75%
First Sentier Property Securities	6.00%	29.07%	8.38%	6.47%
Ironbark Property Securities	6.00%	26.52%	6.63%	6.42%
Yarra Enhanced Income	13.00%	9.18%	4.92%	4.05%
Perpetual Diversified Income	13.00%	7.16%	3.58%	3.15%
FirstRate Saver	6.00%	4.72%	2.58%	1.76%
	100.00%	16.20%	7.75%	8.55%

* This portfolio is in line with your Investor Risk Profile

Proposed Portfolio

Superannuation Assets	
BT Panorama Fund (Account # - 400421210)	\$0
Colonial First State Wholesale Allocated Pension (Account # - TBD)	\$230,599
Realindex Australian Share Value	\$25,366
Airlie Australian Share	\$25,366
First Sentier Australian Small Companies	\$11,530
CFS Index Global Share	\$29,978
GQG Partners Global Equity	\$27,672
Bell Global Emerging Companies	\$9,224
First Sentier Property Securities	\$13,836
Ironbark Property Securities	\$13,836
Yarra Enhanced Income	\$29,978
Perpetual Diversified Income	\$29,978
FirstRate Saver	\$13,836
Retirement Assets	\$230,599

Benefits:

- The alternative portfolio has outperformed your current fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

John

Type of Fee or Cost	BT Panorama - \$230,599	Colonial Wholesale Allocated Pension Fund - \$230,599
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.15% p.a. + \$540 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,200 p.a.
Annual average cost – Total \$230,599 investment	\$886 p.a.	\$1,200 p.a.

Outcomes Post Implementation - John:

- The overall fees will **increase** by approximately **\$314** per annum.
- The Colonial First State Wholesale '**Balanced**' portfolio has **outperformed** your current BT Panorama Fund over the past 5 years by an average of **1.97%** p.a.
- Based on your current balance, **this equates to \$4,543 per annum (\$22,715 over a five-year period).**
- The historical performance figures outlined on the previous pages are **NET** of the respective investment fees. The investment fees for the above two options are as follows:
 - BT Panorama (current) – **0.27%**
 - CFS portfolio (proposed) – **0.84%**

Investments Outside Superannuation

CSL and Vanguard Shareholdings

John, you own shares in CSL and the 'Vanguard Diversified Balanced Index ETF' currently valued at approximately \$418,433.

- You effectively have two options in terms of how your existing investment monies are structured:
 - Continue to hold these monies in your existing share holdings.
 - Selling down the shareholdings (all or part thereof) and investing in a more actively managed wholesale 'master trust' investment platform.

Option 1 – Maintain Existing Share Holdings

John

You are invested in CSL and the 'Vanguard Diversified Balanced Index ETF' which paid you a combined dividend of approximately \$8,945 for the past FY. This amount is not enough to offset the \$30,000 p.a. lost from the maturation of your Challenger Annuity.

Downside:

- The income paid from the dividends is not sufficient to meet income requirements.
- Capital Gains Tax (CGT) implications may be passed onto recipients of inheritance (at higher marginal tax rates) if not sold in your lifetime.

Option 2 – Master Trust Platforms (Colonial First State)

Sell down all the Vanguard shares and 425 units of the CSL shares (as detailed on Page 18) and invest the remaining balance (after CGT deducted) of \$251,526 in the recommended 'master trust' platform from which you can draw down an income of \$21,996 per annum to supplement your living expenses.

Your investments in the Colonial First State (CFS) platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

John

Colonial First State Wholesale Investments – 'Balanced' portfolio

	% of portfolio
Realindex Australian Share Value	11.00%
Airlie Australian Share	11.00%
First Sentier Australian Small Companies	5.00%
CFS Index Global Share	13.00%
GQG Partners Global Equity	12.00%
Bell Global Emerging Companies	4.00%
First Sentier Property Securities	6.00%
Ironbark Property Securities	6.00%
Yarra Enhanced Income	13.00%
Perpetual Diversified Income	13.00%
FirstRate Saver	6.00%
	100.00%

Performance of the recommended Colonial First State 'Balanced*' Portfolio at 31/07/2024:

Managed Funds	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Australian Share Value	11.00%	15.05%	11.31%	10.41%
Airlie Australian Share	11.00%	15.27%	7.88%	11.00%
First Sentier Australian Small Companies	5.00%	6.37%	2.19%	9.21%
CFS Index Global Share	13.00%	20.50%	10.09%	12.51%
GQG Partners Global Equity	12.00%	31.53%	16.48%	16.21%
Bell Global Emerging Companies	4.00%	8.91%	2.08%	8.75%
First Sentier Property Securities	6.00%	29.07%	8.38%	6.47%
Ironbark Property Securities	6.00%	26.52%	6.63%	6.42%
Yarra Enhanced Income	13.00%	9.18%	4.92%	4.05%
Perpetual Diversified Income	13.00%	7.16%	3.58%	3.15%
FirstRate Saver	6.00%	4.72%	2.58%	1.76%
	100.00%	16.20%	7.75%	8.55%

* This portfolio is in line with your Investor Risk Profile

Proposed Portfolio

Superannuation Assets	
Vanguard Shares	\$0
CSL Shares	\$159,595
Colonial First State Wholesale Investments (Account # - TBD)	\$251,526
Realindex Australian Share Value	\$32,698
Airlie Australian Share	\$30,183
First Sentier Australian Small Companies	\$13,834
CFS Index Global Share	\$36,471
GQG Partners Global Equity	\$35,214
Bell Global Emerging Companies	\$11,319
First Sentier Property Securities	\$17,607
Ironbark Property Securities	\$15,092
Yarra Enhanced Income	\$25,153
Perpetual Diversified Income	\$23,895
FirstRate Saver	\$10,061
Retirement Assets	\$251,526

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Proposed Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Total
Income	
CFS Allocated Pension	\$23,004
Age Pension	\$2,054
CFS Investment Drawdown	\$19,942
Net Income	\$45,000
Less Budgeted Expenditure	-\$45,000
Income Surplus/Deficit	\$0

You have provided us with the above figures in the table. If the estimated Cash Flow Surplus may be over or understated, please notify us if this is the case.

What is paid to your adviser

Plan Fee

There is no fee for this Statement of Advice.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Allocated Pension	\$230,599	Flat Fee	Nil	Upfront fee	Nil		\$1,200 p.a.
Colonial FirstChoice Wholesale Investment	\$251,526	Flat Fee	Nil	Upfront fee	Nil		\$1,200 p.a.
Total	\$582,025		Nil		Nil		\$2,400 p.a.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – LONSEC Research Reports
